Special remarks - JC3 Journey to Zero Conference 2026

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Speech by Mr Abdul Rasheed Ghaffour, Governor of the Central Bank of Malaysia (Bank Negara Malaysia), at the JC3 Journey to Zero Conference 2026, Kuala Lumpur, 29 September 2026.

Let me begin by congratulating the recipients of the JC3 Recognition Awards as well as winners of the CFIL Pitch-A-Thon.

Your work and contributions remind us that progress begins with people who are prepared to test new ideas; build new partnerships; and turn ambition into action.

Two months ago, at the Sasana Symposium, I spoke about the *Gelam* tree. It thrives in harsh conditions because it adapts and renews itself. This year's theme, 'Building Climate and Nature Resilience for People and Businesses,' carries that same message forward.

We cannot wait for the next storm. We must prepare while the skies are still clear.

During this conference, we have heard powerful insights. While perspectives may differ, one message has emerged: Building climate and nature resilience is not solely an environmental agenda. It is an economic, and therefore, a financial sector imperative.

As we conclude this year's JC3 J20 Conference, allow me to leave you with 3 reflections.

First, finance must help accelerate a credible energy transition.

Malaysia's energy transition is gaining momentum. Renewable energy accounted for 31% of installed capacity in 2025 compared to 25% in 2023. This puts us on track with the National Energy Transition Roadmap's interim 2025 target. But this is only one measure of success.

The rise of artificial intelligence and the rapid expansion of data centres drive unprecedented

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I believe that capital is available. The real test is whether we can channel that capital into credible, investable projects at sufficient scale and pace.

In many cases, the constraint is intermediation. A major challenge lies in financing high-impact clean energy projects that appear commercially unviable or unattractive on the surface.

Consider a small town in Sabah that relies on an 800-kilowatt diesel generator for electricity, while a nearby palm oil mill emits enough methane to power the whole town. There is a real opportunity here – to cut both diesel costs and harmful emissions. We can just build a biogas generator and connect a cable to power the town.

Yet, despite technically feasible, such a project on the surface, would struggle to secure financing. The idea is novel, the revenue model is unusual, and it is a small project to justify the structuring effort from the banks' itself.

Now, let's consider this – there are more than 120 palm oil mills across Sabah. This singular 'non-viable' project can be a compelling proof of concept. One that can be replicated at scale, enough to add hundreds of megawatts of clean energy for an entire state of Sabah.

Interestingly, what this tells us:

- A marginal project can become a replicable model.
- A local intervention can become a statewide opportunity.
- An unfamiliar risk can become manageable when institutions build the knowledge and, partnerships as well as create structures to address it.

This is the role that CFIL was created to play. It brings project owners, financiers, technical experts, and policymakers together – to co-create solutions. To date, CFIL has welcomed 45 projects seeking more than RM5 billion in financing.

But the true measure of success lies in how many of these projects ultimately scale and create real-world impact. My call to funders is simple: How do we scale these 45 projects, and others like them?

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2030 – we are exploring how regulation and supervision can be better calibrated to support the energy transition. We are considering ‘room to play’ for financial institutions to take higher risks – of course 'responsibly' – with these risks appropriately understood, priced, and managed within an acceptable risk appetite.

Investing in adaptation to strengthen Malaysia’s resilience to climate risks

The second reflection – we must finance resilience before the next major flood, super El Niño, or devastating landslide.

- We must plan, finance, and embed resilience into today’s decisions.
- We must move from financing recovery after disasters to financing resilience before disasters occur.
- We must invest before the crisis, not merely pay after it.

This aspiration is shared by the government as outlined by the Deputy Minister of NRES in his remarks yesterday. The National Climate Change Policy 2.0; the National Carbon Market Policy; and the forthcoming National Adaptation Plan and the National Climate Change Bill – all of these will provide greater clarity and confidence in Malaysia’s climate agenda, helping to attract investment for credible climate action.

For the financial sector, our immediate priority is to strengthen the availability and accessibility of climate data. Initiatives such as the JC3 Data Catalogue and emissions data programmes are important foundations. But data becomes valuable only when it informs decisions.

Pak Gita Wirjawan reminded us yesterday that capital allocation flows more readily where risk is priced. In other words, translating unknown 'uncertainties' into quantifiable 'risks'. This is central to attracting and deploying long-term capital towards climate and nature positive projects and solutions.

Our task is therefore, to translate better information and data into stronger risk management and better investment decisions.

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coastlines; and ecosystems – support economic activity; protect communities; and sustain livelihoods. Over half of Malaysia's gross domestic product (GDP) is highly dependent on ecosystem services.

Yet, for many years, financial markets have largely treated nature as abundant, and therefore economically invisible. Its value is recognised only when it is damaged or lost, and this must change.

The Malay proverb '*bagai aur dengan tebing*' – which talks about bamboos and riverbanks – illustrates the interdependence between people and nature. The bamboo stabilises the riverbank, while the riverbank supports the growth of the bamboo. Likewise, healthy ecosystems sustain livelihoods, protect communities and support economic activity.

For BNM, nature is an emerging area of knowledge and practice – reminding us that building resilience requires us to look beyond climate. The challenge before us is to make these dependencies visible; measurable; and ultimately – reflected in financial decision-making.

Around the world, cities are demonstrating how nature-based solutions can strengthen climate resilience and deliver longer-term environmental and socioeconomic benefits.

Singapore's Bishan-Ang Mo Kio Park provides one example. When an ageing concrete canal needed repair, authorities had a choice. To rebuild as is, or to 'naturalise' the river by restoring the riverbed to its natural floodplain. It is no surprise that they chose to invest in nature – at half the cost. This has addressed the city's flood management; water quality and supply; while at the same time creating green public spaces for the community.

Where appropriate, nature-based solutions can strengthen resilience while delivering economic and environmental benefits. And we must do better at identifying all those opportunities.

Meaningful action begins with understanding. Financial institutions first need to build capacity and deepen understanding on nature-related risks. Nature and climate risks are two sides of the same coin – they are closely interconnected and often reinforce one another.

With deeper understanding, financial institutions can move beyond viewing nature-related

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today with existing resources and capabilities and progressively enhance over time.

As we conclude the JC3 J20 2026, we leave with a dose of optimism mixed with a sense of urgency.

Optimism because the solutions are emerging. We have seen innovation, leadership and growing willingness across the financial sector to embrace change.

Urgency because time is not standing still. Climate risks are accelerating, so is nature loss.

The test begins as we leave this auditorium – whether conversations turn into collaboration, pilots emerge as projects, and projects attract investments.

In his keynote address, the SC Chairman reminded us that the environment is a 'trust' placed in our care, and as *khalifa* or stewards, our responsibility extends beyond managing the needs of today.

We need to act with foresight and purpose. This is why a platform like JC3 matters. No single institution can finance transition alone. No regulator can solve these challenges alone.

May we leave this conference with these new commitments:

- to mobilise capital more boldly;
- to support innovation more actively; and
- to collaborate and co-develop more deeply.

Before I conclude – I want to go back to remind us about the '*Gelam'* tree. It survives because it adapts and renews itself. The same will be true of our financial system, our economy and our society. The question before us is whether – we can grow quick enough before the next wave crashes.

On that note, please allow me to recognise the effort of to the JC3 Co-Chairs, Madelena Mohamed and Neetasha Rauf; the Chair of the JC3 Subcommittee on Capacity Building and Engagement, Raja Amir Shah; the JC3 secretariat and members, our sponsors, and to all that has joined us over these two days for making this conference a reality.

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